THE TAX CEO

A BUSINESS OWNER'S GUIDE FROM THE TAX CEO

The Entity Playbook

LLC, S Corp, or C Corp. Decide Like a CEO.

Your structure decides how much of your profit you keep. Most owners chose theirs on day one, with the least information they would ever have. This is how to look at it again.

THETAXCEO.COM

START HERE

The Most Expensive Default in Small Business

The wrong entity never sends you a bill. It just quietly keeps more of your money than it should, and calls it normal.

$9,600

PER YEAR. EVERY YEAR.

That is what one structural decision is worth to the owner on page 9 of this guide. A real, defensible number, not a guru's promise. She didn't find a loophole. She stopped using the default.

Owners overpay in both directions. Some never make the S election and hand five figures a year to self-employment tax. Others elect too early and pay for payroll they didn't need. Both mistakes come from the same place: nobody ever ran the numbers.

WHAT YOU'LL WALK AWAY WITH

- **The six questions** that decide the right structure. Answer them in ten minutes, starting on the next page.
- **The four structures in plain language,** and what each one actually does to your tax bill.
- **Real numbers:** two worked examples, including the S election math most owners get wrong.
- **The compensation rule the IRS actually enforces,** with the court cases that prove it.

A NOTE FROM LORRA BROWN, FOUNDER OF THE TAX CEO

I built this firm because a preparer invented deductions for my father and missed the rules that actually applied, leaving him a tax bill he never should have owed. Everything we publish holds to the standard I built in his name: everything you're entitled to, nothing you're not. *Nothing invented, nothing missed.*

THE DECISION MAP

Six Questions Decide It

Entity selection feels complicated because it's usually explained backwards: structure first, situation second. Flip it. Answer these six questions and the right structure mostly picks itself.

1

How many owners, and who are they?

Outside entities or foreign owners rule out the S election. Unequal deals favor partnership flexibility.

2

Does profit clearly exceed a fair salary for your role?

Yes? The S election deserves a numbers check. Not yet? Simplicity is winning.

3

Paid out or retained?

Profits paid out each year point to a pass-through. Profits retained to fund growth open the C corporation conversation.

4

Will the business hold appreciating assets?

Real estate stays out of corporations, both kinds. No exceptions worth planning around.

5

What does the exit look like?

A future stock sale to investors makes Section 1202 planning, and a C corporation from day one, worth serious money.

6

What does your state do to each structure?

Franchise taxes, entity fees, and payroll rules vary enough to flip a close call.

THE DEFAULT PATH MOST OWNERS SHOULD FOLLOW

Start with the LLC for protection and simplicity. **Run the S corporation math** once profit reliably clears a defensible salary. **Touch the C corporation only with a specific reason:** retained growth, venture capital, a stock-sale exit. Then **re-run the decision** at every major change: new owner, profit jump, new state, approaching sale.

The next page puts all four structures side by side. Then each one gets its own play, with the numbers.

SIDE BY SIDE

The Four Structures at a Glance

STRUCTURE	WHAT HAPPENS TO YOUR PROFIT	FEDERAL FILING	BUILT FOR
Sole proprietorship THE DEFAULT	All of it lands on your personal return, and all of it is exposed to 15.3% self-employment tax.	Schedule C, with your 1040	Testing an idea. No liability shield; outgrow it quickly.
Single-member LLC THE STARTING POINT	Taxed exactly like a sole proprietorship. The IRS ignores the LLC, so you gain the liability shield, not a tax change.	Schedule C, with your 1040	Solo owners who want protection with zero added complexity.
Multimember LLC / partnership THE DEAL-MAKER	Passes through to each owner via K-1. Losses can offset your other income, company debt adds to your basis, and owners can split items unevenly.	Form 1065	Multiple owners, unequal deals, leveraged or loss-heavy ventures.
S corporation THE PAYROLL PLAY	Passes through via K-1, but you take a salary, and **only the salary bears payroll tax.** The rest comes out as distributions, payroll-tax free.	Form 1120-S	Profitable owner-operators whose profit comfortably beats a fair salary.
C corporation THE SPECIALIST	Taxed inside the company at a flat 21%. Pay it out as dividends and it's taxed again, up to 23.8%, on your return.	Form 1120	Retained-earnings growth, venture investors, a Section 1202 stock exit.

> *"S corporation" and "C corporation" aren't companies you form. They're tax classifications your LLC or corporation elects. The entity is state law. The tax treatment is a choice. That choice is the whole game.*

PLAY NO. 1

The LLC: Protected, and Blissfully Simple

01

The right first move for most businesses: a corporate-grade liability shield with no corporate homework.

WHAT THE SHIELD COVERS, AND THE ONE THING IT NEVER WILL

An LLC generally keeps business liabilities away from your house and your savings: the slip-and-fall, the contract dispute, the employee claim. One honest limit: **no entity protects you from your own malpractice or your own wrongful acts.** If you personally cause the harm, the shield doesn't apply to you. And some states restrict licensed professionals from using LLCs at all. Ask your business attorney.

THE TAX TREATMENT: REFRESHINGLY BORING

If you're the only owner, the IRS ignores the LLC completely. Business income goes on Schedule C of your own return, rentals on Schedule E, with no separate federal filing, no payroll for yourself, nothing to reconcile. Protection without paperwork.

THE TRADE-OFF THAT EVENTUALLY MATTERS

Every dollar of profit is exposed to **15.3% self-employment tax.** At $40,000 of profit, that's the fair price of simplicity. At $150,000, it's a five-figure annual bill for a structure you've outgrown, and the pressure point that leads straight to Play No. 3.

ONE DECISION TO MAKE BEFORE YOU DEFAULT HERE

If your endgame is venture capital and a stock-sale exit, **form a corporation from day one.** The C corporation's two best owner benefits, the Section 1202 gain exclusion and Section 1244 loss protection, require actual corporate stock. An LLC that elects corporate taxation doesn't qualify. For everyone else, the LLC's flexibility wins.

PLAY NO. 2

02

The Partnership: Structure Follows the Deal

Add a second owner and a multimember LLC is taxed as a partnership, under the most flexible rules in the tax code. When owners bring different things to the table, that flexibility is worth real money.

The company files Form 1065, hands each owner a K-1, and pays no federal income tax itself. What makes the rules special:

- **Losses land on your personal return.** Early-year losses can offset your other income now, when cash flow relief matters most. In a corporation, they'd be trapped inside the entity. Basis, at-risk, passive-activity, and excess-business-loss limits apply.
- **Company debt gives you basis.** Unique among entities: your share of the LLC's loans adds to your tax basis, letting you deduct losses beyond the cash you put in. For leveraged, equipment-heavy businesses, this is decisive.
- **Special allocations.** Owners can split specific items of income, loss, or depreciation in ratios different from ownership, when the split reflects the real deal. An S corporation flatly cannot do this.
- **Assets move without friction.** Property can generally go in and come out of a partnership tax-free. Corporations don't return the favor.
- **The 20% pass-through deduction.** Qualified business income can support a deduction of up to 20%, made permanent in the 2025 tax law, with limits at higher incomes.

THE HONEST TRADE-OFFS

Active members generally owe self-employment tax on their share of earnings. Partnership returns are genuinely complex. And a cheap operating agreement is where co-owner disputes go to become expensive. Budget for a real one, drafted by someone who does this for a living.

Abstract rules are easy to nod at. The next page shows what they're worth when there's a bank loan and a first-year loss on the table.

WORKED EXAMPLE · THE PARTNERSHIP PLAY

Two Owners, One Loan, and a Loss That Didn't Go to Waste

The setup. Maya puts in $150,000 and keeps her day job. Jordan puts in $50,000 and runs their new fitness studio full time. They form a multimember LLC, split it 60/40, and the LLC borrows $200,000 for the build-out.

YEAR ONE DELIVERS A $120,000 LOSS, AND THE STRUCTURE CATCHES IT

The loss passes straight through to their personal returns, where, within the loss-limit rules, it can offset other income **now**, in the year the cash actually hurt.

And here's what most owners miss: **the bank loan helps them deduct it.** Each member's share of the $200,000 debt adds to their tax basis. So even where Jordan's share of the loss exceeds the $50,000 he invested, his share of the debt can give him the basis to claim it. In a corporation, that same loan adds nothing to stock basis, and the loss sits locked inside the company.

THE SPECIAL ALLOCATION

Maya funded most of the equipment, so their operating agreement sends **80% of the equipment depreciation to her,** even though she owns 60% of the company. The partnership rules allow the uneven split because it mirrors the real economics. It shelters her outside income, which is exactly what she bargained for when she wrote the bigger check.

WHY AN S CORPORATION COULDN'T RUN THIS PLAY

One class of stock means everything splits strictly by ownership. No 80/20 depreciation deal. And entity debt adds nothing to shareholder basis. Same business, same loan, same loss: **meaningfully worse outcome.** Structure follows the deal, never the other way around.

Figures illustrative. Losses remain subject to the basis, at-risk, passive-activity, and excess-business-loss limits. And as a non-working investor, Maya should expect the passive-activity rules to shape when she can use her share.

PLAY NO. 3

03

The S Election: Stop Paying Tax on Both Hats

The S corporation isn't a company. It's an election your LLC or corporation files. It changes exactly one thing, and that one thing is why everyone talks about it.

THE MECHANISM, IN THREE SENTENCES

As a sole proprietor or active LLC member, **every dollar of profit** is exposed to 15.3% self-employment tax. Elect S status and you wear two hats: an **employee** who takes a salary, where payroll taxes apply, and a **shareholder** who takes the remaining profit as distributions, which bear **no payroll tax at all.** The spread between profit and salary is where the savings live.

> *The election doesn't reward greed. It rewards a defensible salary and the discipline to document it.*

Your salary must be **reasonable compensation:** what you'd pay someone else to do your job. Set it artificially low and the IRS recharacterizes distributions as wages, with back payroll taxes, penalties, and interest attached. Pages 10 and 11 show exactly how that ends, with names and case numbers.

ELIGIBILITY: STRICT RULES, RARELY A PROBLEM

A domestic corporation or LLC · 100 or fewer shareholders · owners limited to U.S. individuals, estates, and certain trusts · one class of stock. For a one-owner or family business, these almost never bite. What should actually give you pause:

- **The election has real carrying costs:** payroll processing, a corporate return, state filings. Savings must clear those costs, which is why timing is everything.
- **You trade away partnership flexibility:** no special allocations, no basis from entity debt, and appreciated property doesn't come back out tax-free.
- **Owner benefits get more paperwork:** own more than 2% and health insurance runs through your W-2. Still typically deductible personally, just less tidy.

So when does the math actually work? Turn the page, and bring your profit number.

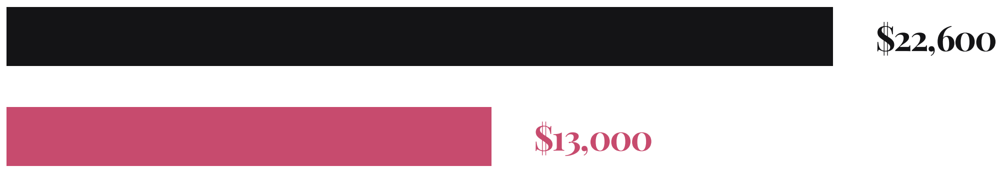
WORKED EXAMPLE · THE S ELECTION, IN REAL NUMBERS

Elena's $160,000 Question

Elena's marketing agency nets **$160,000** as a single-member LLC. She's heard about S corporations for two years. Here's what the math, not the hype, says.

Sole proprietor
15.3% on substantially all $160K

S corporation
payroll tax on $85K salary only



ANNUAL EMPLOYMENT TAX · ILLUSTRATIVE, ROUNDED

$9,600

SAVED. EVERY YEAR.

Elena researched what agencies pay for her role and set her salary at a defensible **$85,000.** The remaining **$75,000** flows to her as distributions, payroll-tax free. The savings must still clear the election's carrying costs (payroll service, corporate return, state fees, typically a few thousand a year). She clears them with room to spare. **At $60,000 of profit, she likely wouldn't.**

WHAT ELENA DID RIGHT

She picked her salary to **survive scrutiny, not to maximize savings,** and kept the research that supports it. She ran the numbers *before* electing. And she treated the election as a planning decision with timing rules, not a panic move the week before filing. The S election is a math problem, not a milestone.

Figures illustrative and rounded; a real analysis also accounts for the employer-payroll-tax deduction and the interaction with the 20% pass-through deduction. Curious what a defensible salary looks like for *your* role? Run it free at **salary.thetaxceo.com**.

THE RULE THE IRS ACTUALLY ENFORCES

Reasonable Compensation Cuts Both Ways

Owner pay is one of the most litigated issues in small-business tax, and the IRS attacks it from opposite directions depending on your entity.

S CORPORATION: TOO LOW

Distributions escape payroll tax, so the temptation is a token salary. When the salary can't be defended as market pay for the work performed, the IRS recharacterizes distributions as wages, and the back taxes, penalties, and interest erase years of supposed savings.

C CORPORATION: TOO HIGH

Salaries are deductible; dividends aren't. So owners strip out profit as year-end "compensation" to zero the corporate tax. When pay exceeds what the services are worth, the excess is a **disguised dividend:** not deductible, and still taxable to the owner.

The standard comes straight from the regulations: reasonable compensation is the amount that would ordinarily be paid for like services, by like enterprises, under like circumstances (Treas. Reg. 1.162-7(b)(3)). Courts have been applying that standard to real owners for decades. The next page shows how those decisions actually came out.

PROTECT YOURSELF IN THREE MOVES

- **Document the number:** market wage data, role duties, hours, kept in the company's records.
- **Watch the investor test:** compensation that zeroes out a business with real capital invested is a fact pattern the Tax Court has explicitly rejected.
- **Revisit annually:** reasonable compensation moves with your profit, your role, and your market.

THE PAPER TRAIL THAT WINS BEFORE THE FIGHT STARTS

A formal reasonable-compensation analysis documents your salary task by task, benchmarked to federal wage data at your experience level, in your market. It's a report we build for clients, and it's the file you want to already have when anyone asks.

ON THE RECORD

Four Cases Every Owner Should Know

David E. Watson, P.C. v. United States

668 F.3d 1008 (8th Cir. 2012)

A CPA paid himself a $24,000 annual salary from his S corporation while taking roughly $200,000 in distributions, for work that clearly commanded far more.

The ruling: The Eighth Circuit upheld the recharacterization of distributions as wages, based on expert analysis of what a firm would pay for comparable services. Back payroll taxes, penalties, and interest followed. A token salary does not survive contact with market data.

Sean McAlary Ltd., Inc. v. Commissioner

T.C. Summ. Op. 2013-62

A real estate brokerage's sole owner took distributions and no salary at all, betting the IRS wouldn't look.

The ruling: The Tax Court set reasonable compensation using market hourly rates for the owner's actual work, capped at full-time hours, and upheld payroll taxes and penalties on the recharacterized amount. Zero is never a defensible salary in a profitable S corporation.

Brinks Gilson & Lione, P.C. v. Commissioner

T.C. Memo. 2016-20

A law corporation paid year-end bonuses to its shareholder-attorneys that wiped its book income to zero, even though the firm earned income from substantial invested capital, not just its shareholders' labor.

The ruling: Applying the hypothetical independent investor test, the Tax Court held the bonuses were disguised dividends to the extent they eliminated any return on capital, and sustained accuracy-related penalties. Compensation that leaves investors nothing is not compensation.

Mayson Mfg. Co. v. Commissioner

178 F.2d 115 (6th Cir. 1949)

The decision that built the framework courts still use: a multi-factor test weighing the employee's qualifications, the scope of the work, comparable pay, company size and complexity, and the relationship between compensation and profits.

The ruling: Reasonableness is judged on the whole picture, not a single ratio. The IRS's own guidance on S corporation officer wages still traces to this factor framework.

Case summaries are simplified for education; outcomes turn on specific facts. Full citations provided so you, or your advisor, can read the decisions themselves.

PLAY NO. 4

The C Corporation: Powerful, and Usually Wrong

04

A flat, permanent **21%** corporate rate against a 37% top individual rate. The pitch writes itself, and it's only half the story.

THE HALF THEY DON'T PITCH

- **Double taxation is arithmetic, not a slogan.** The corporation pays 21% on profit. Pay it out as dividends and you're taxed again, up to 23.8%. Stacked, a distributed dollar can cost more than a pass-through owner pays once. **The 21% only stays cheap if the money stays in.**
- **Losses are trapped** inside the corporation, useless against your personal income in the lean years.
- **No 20% pass-through deduction.** C corporation income never qualifies.
- **Appreciating assets get stuck.** Gains on property held inside a C corporation may be unreachable without both layers of tax. It's the costliest structural mistake we see.

WHEN IT GENUINELY WINS

One pattern: **profits stay in, growth is the goal, the exit is a stock sale.**

- **Reinvested profit compounds at 21%** instead of your personal rate. More capital working in the business every year.
- **Section 1202 can erase exit tax.** Qualifying C corporation stock has historically supported up to a 100% gain exclusion after five years, and the 2025 law made it stronger for newly issued stock, with partial exclusions at shorter holds and higher caps. Planned in advance or not at all: the stock must be genuine C corporation stock issued to you.
- **Section 1244 softens failure:** ordinary-loss treatment on qualifying stock, within limits.
- **Investors require it.** Venture funds hold C corporation stock, full stop. If that's your capital plan, the decision is made.

THE ONE RULE WITH NO EXCEPTIONS WORTH PLANNING AROUND

Even when the C corporation is right for the operating business, **keep real estate out of it.** Hold property in a separate LLC and lease it to the corporation. Single-layer tax on the asset most likely to build your wealth, plus a bonus layer of liability separation.

FROM REAL RETURNS, ON REAL DESKS

The Five Mistakes We Keep Finding

Every one of these came off an actual return. Every one was costing the owner money the day we found it.

1 **Electing S status before the profit justifies it**

The payroll savings were smaller than the payroll costs. The owner bought complexity and called it strategy.

2 **Never electing at all**

Six-figure profits, year after year, with every dollar exposed to self-employment tax, because nobody ever ran the numbers.

3 **A salary chosen by folklore**

"Everyone does 50/50." The IRS doesn't audit folklore. It audits your salary against market evidence, and folklore loses. Ask Watson and McAlary.

4 **Real estate inside a corporation**

Appreciating property quietly accruing a double tax that only becomes visible, and unfixable, at sale.

5 **Treating the decision as permanent**

The entity was right in year one. The business changed in year four. Nobody looked again, and the gap compounds annually.

THE CEO'S TAKEAWAY

Your entity was chosen with the least information you will ever have about your business. Every year since, you've known more, and the structure has stayed the same. The question isn't whether it was right when you formed it. **It's whether it's right now.**

YOUR NEXT MOVE

You now know more about entity strategy than most owners ever will. Here's how to find out what yours is costing you.

One hour. Your actual returns. A straight answer.

THE CEO TAX REVIEW

An expert, one-hour review of your most recent returns and your current structure: whether your entity, your compensation, and your elections still fit the business you run today. You leave with findings in plain language and a clear picture of what's being missed.

Backed by our guarantee: if we don't identify savings or corrections worth at least double the review fee, we'll tell you so, and you'll know your structure is sound. Either answer is worth having.

Book at **thetaxceo.com** · Check your S corporation salary free at **salary.thetaxceo.com**

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